Grab Holdings (GRAB): DCF Valuation - base-case value $2.38 vs $3.07 share price, about 22% below

Key Numbers

Enterprise Value	**$7.5bn**
Equity value	**$9.9bn**
Value per share	**$2.38**
Share price (6 Oct 2026)	**$3.07**
WACC/ Terminal growth	**11.6% / 2.5%**
Terminal value as % of EV	**63%**

Sensitivity Grid

	A	B	C	D	E	F
1	Value per share ($) – sensitivity to WACC and terminal growth	WACC →, Terminal growth ↓				
2	2.38	10.50%	11.00%	11.58%	12.00%	12.50%
3	1.50%	2.54	2.40	2.26	2.16	2.06
4	2.00%	2.62	2.47	2.32	2.22	2.11
5	2.50%	2.71	2.54	2.38	2.27	2.16
6	3.00%	2.81	2.63	2.45	2.34	2.21
7	3.50%	2.93	2.73	2.53	2.41	2.27
8	Current share price: $3.07 - No cell reaches the current price; the highest is $2.93					

Key Assumptions

1. **Revenue growth fades over ten years -** Deliveries, Mobility and Financial Services start at **21%**, **13%** and **60%** growth in FY26E and fade to **5%** each by FY35E. FY26E revenue of **$4.11bn** sits within management's **$4.10–4.15bn** guidance.
2. **Margins improve gradually -** Operating margin after share-based compensation rises from **4%** in FY26E to **15%** in FY35E. Share-based pay is treated as a real cost, which is why the figures sit below Grab's adjusted EBITDA.
3. **WACC of 11.6% and terminal growth of 2.5% -** Cost of equity is **12.5%**, built from a **5.31%** risk-free rate, a **1.3** bottom-up beta and a Southeast Asia country risk premium. Terminal value makes up **63%** of enterprise value.
4. **Equity bridge -** Enterprise value of **$7.5bn** is adjusted by adding **$7.4bn** of gross cash liquidity, then deducting **$2.5bn** of customer deposits**, $2.0bn** of debt (including the convertible notes) and **$0.4bn** of non-controlling interests. That gives **$9.9bn** of equity value, or **$2.38** per share on **4,168m** diluted shares.

Using my cautious assumptions, my base case values Grab at **$2.38** per share about **22%** below the **$3.07** market price. Even the most favourable combination of WACC and terminal growth in my sensitivity table only values it at **$2.93**, meaning the gap to market price cannot be closed by discount rate alone. The current share price therefore implies faster margin improvement than my base case assumes, which is where the valuation is most uncertain.

Main Limitations

1. **The forecast is deliberately cautious -** FY26E revenue is in line with guidance, but margins only reach **15%** by FY35E and the model treats share-based pay as a real cost, so it sits below management's targets.
2. **Terminal value is 63% of enterprise value -** Most of the value comes from the years after the forecast, so small changes to WACC or terminal growth move the result a lot.
3. **The banking business is simplified -** Customer deposits are deducted in full, but the loan book they fund isn't forecast or valued, which makes the result slightly conservative.
4. **Share count and timing are approximations -** Diluted shares use the Q2 2026 weighted average (**4,168m**), and FY26 cash flow is discounted as a full year even though it's already October.